

# Indicative Term Sheet: Purchase of Section 48E Investment Tax Credits

Date: July 15, 2026

Project: Cottonwood Solar I

Status: Non-binding, subject to diligence and definitive documentation

This term sheet summarizes the principal terms on which Halvorsen Industrial Corporation ("Buyer") proposes to purchase, under Section 6418 of the Internal Revenue Code, the investment tax credit generated by Cottonwood Solar I (the "Project") from Cottonwood Solar I, LLC ("Seller"), a subsidiary of Meridian Ridge Renewables, LLC.

## 1. Credit and Project

| Term                     | Proposed                                                                                                                      |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------|
| Credit                   | Clean electricity investment tax credit under Section 48E                                                                     |
| Energy property          | Ground-mounted solar photovoltaic energy property, 100 MWac / 135 MWdc                                                        |
| Location                 | Montgomery County, Illinois                                                                                                   |
| Estimated eligible basis | \$142,000,000                                                                                                                 |
| Assumed credit rate      | 50% (30% base rate with prevailing wage and apprenticeship, plus 10% energy community bonus, plus 10% domestic content bonus) |
| Estimated credit amount  | \$71,000,000                                                                                                                  |

## 2. Price and Payment

| Term                     | Proposed                                                                                                                                |
|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| Credit price             | \$0.935 per \$1.00 of tax credit                                                                                                        |
| Estimated purchase price | \$66,385,000                                                                                                                            |
| Payment                  | Single payment within 10 business days after the Project is placed in service and Buyer receives the final eligible basis certification |

## 3. Key Assumptions

3.1 Prevailing wage and apprenticeship. The credit rate assumes the Project satisfies the prevailing wage and apprenticeship requirements for the full construction period.

3.2 Energy community. The Project is located in census tract 17135957900, which Seller represents is a coal closure energy community census tract. The credit rate assumes the 10% energy community bonus.

3.3 Domestic content. The credit rate assumes the Project qualifies for the 10% domestic content bonus.

3.4 Beginning of construction. Seller represents that construction of the Project began in December 2025, before January 1, 2026.

3.5 Placed in service. The Project is expected to be placed in service on or before November 30, 2026,

so that the credit is available for Buyer's 2026 tax year.

3.6 Prohibited foreign entities. Seller represents that the material assistance restrictions for prohibited foreign entities do not apply to the Project because construction began before January 1, 2026. If they are determined to apply, Seller will deliver supplier certifications for all manufactured products.

#### **4. Buyer Protections**

4.1 Tax credit insurance. Seller will procure a tax credit insurance policy naming Buyer as insured, with a limit of liability of not less than 100% of the purchase price.

4.2 Indemnity. Seller and Sponsor will indemnify Buyer for any disallowance, recapture or reduction of the credit not covered by insurance.

4.3 Conditions precedent. Satisfactory completion of Buyer's diligence; delivery of cost segregation report, PWA compliance report, domestic content certification, independent engineer report and insurance binder.

#### **5. Other**

Exclusivity: 60 days. This term sheet is non-binding except for confidentiality and exclusivity.